

The business environment

Worksheet

- A** Is your company changing in response to the changing business environment? Decide which of the following trends are relevant to your business and make a few notes. Add an idea of your own at the end. Then discuss your ideas.
- **Outsourcing.** Has your company outsourced (*subcontracted to an outside company*) any jobs that were previously done internally? What happened?
 - **Focusing on core activities.** Is your company diversified into many areas? Or does it focus on a few core (*central*) activities, the things it does best and which are most profitable? Has your company sold off any parts of its business which are not central?
 - **The development of an internal market.** Are you in competition with any external companies (outsourcers) to provide a service for your own company? Are you in competition with anyone from your own company?
 - **Downsizing.** Has your company gone through a period of downsizing (*reduction in the number of employees*)? What were the benefits and disadvantages? Are only the core staff left? Are other staff employed on a short-term, project-by-project basis? What are the benefits and disadvantages?
 - **Delaying.** Has your company gone through a period of delaying (*reduction in the number of levels in the management structure*)? What were the benefits and disadvantages?
 - **Employee empowerment.** Do you have 'command and control' type management? Or do you have employee empowerment where responsibility and power are given to lower management levels? What are the benefits and disadvantages?
 - **e-commerce.** How is your company taking advantage of the opportunities provided by the Internet? How is your Website integrated into your other business activities? Do you have an e-commerce strategy?
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- B** Your business is influenced by developments outside business. It is common to analyze these with a STEP analysis. Prepare and present a STEP analysis of how the business environment influences your company.

Sociological factors

Social and cultural attitudes to your type of product; Educational/cultural level of the population; Age of population; Standard of living; Industrial relations

Technological factors

R&D level and 'know-how'; Computerization; Telecommunications; Internet; Other new technologies; Patents; Production methods; Automation; Transport and distribution system

Economic factors

National: Economic growth (GDP); Currency fluctuations; Inflation; Interest rates; Job security and unemployment; Cost of raw materials

World: Patterns of international trade; Moving production sites; Emerging markets

Political factors

Government policy; Government regulations; Privatization; Employment law; Regulatory bodies; Special interest groups (lobbies); International relations; Corruption

